RBI and Inflation Control

GS III

- Inflation can rise when essential supplies become expensive or scarce. Higher crude oil prices increase energy costs, while **poor rainfall** can reduce agricultural production, pushing food prices upwards even without stronger consumer demand.

- The RBI raises its policy interest rate to make borrowing more expensive and moderate spending. However, **monetary tightening** cannot directly produce more food or reduce international oil prices, limiting its immediate effectiveness against supply-driven inflation.

- **Inflation expectations** create another challenge. When households and businesses anticipate continuing price increases, they may demand higher wages or raise selling prices. Such behaviour can sustain inflation even after the original supply disruption begins to ease.

- Controlling inflation therefore requires **coordinated action**. The RBI can manage demand and expectations, while the government improves food availability through buffer stocks, trade measures and market intervention. Both must consider the impact on economic growth.

Interest rate increases cannot fully resolve inflation caused by supply shortages. Effective price stability requires monetary policy, government supply management and careful protection of economic growth.